

Mindteck Middle East Limited SPC

Financial Statements and Independent Auditor's
Report for the Year Ended 31 March 2017

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Mindteck Middle East Limited SPCGeneral information

Commercial registration number	49063-01
Board of directors	Harish Aravindakshan Nair Aveenth Gupta Pradeep Kizhakkethil Shankattu Shivarama Adiga
Registered office	PO Box 10795 Flat 44, Building 81 Road 1702, Block 317 Manama, Kingdom of Bahrain
Banks	HSBC Middle East Limited, Kingdom of Bahrain Citi Bank, Kingdom of Bahrain
Auditor	RSM Bahrain PO Box 11816, Manama Kingdom of Bahrain

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Independent auditor's report

To the Owner of Mindteck Middle East Limited SPC

Opinion

We have audited the financial statements of Mindteck Middle East Limited SPC (the "Company"), which comprise the statement of financial position as at 31 March 2017, and the statement of profit or loss and other comprehensive income, the statement of changes in equity, and the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2017, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Independent auditor's report

To the Owner of Mindteck Middle East Limited SPC

(Continued from previous page)

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Independent auditor's report

To the Owner of Mindteck Middle East Limited SPC

(Continued from previous page)

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, we report that: we have obtained all the information we considered necessary for the purpose of our audit; the Company has maintained proper books of account and the financial statements are in agreement therewith;

In connection with our audit, we report the following:

a) As per the Articles of Association of the Company the financial year end is 30 June, however, the Company has been preparing its financial statements as at 31 March each year.

Except for the above, we report that nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, Decree Number 21 of 2001, or of its Articles of Association, which would materially affect its activities, or its financial position as at 31 March 2017.

RSM.

Registration number 69

16 May 2017

Manama, Kingdom of Bahrain

Mindteck Middle East Limited SPC

Statement of financial position as at 31 March 2017

(in Bahraini Dinars)

	Note	2017	2016
Assets			
Non-current assets			
Plant and equipment	5	271	355
		271	355
Current assets			
Trade and other receivables	6	109,095	137,000
Advances, deposits and prepayments	7	22,170	18,074
Bank balance	8	53,167	5,457
		184,432	160,531
Total assets		184,703	160,886
Equity and liabilities			
Equity			
Share capital	9	50,000	50,000
Statutory reserve	10	16,093	16,093
Accumulated losses		(33,624)	(30,962)
		32,469	35,131
Non-current liabilities			
Employee terminal benefits		48,000	24,000
		48,000	24,000
Current liabilities			
Other payables	11	77,668	80,196
Accrued liabilities	12	26,566	21,559
		104,234	101,755
Total equity and liabilities		184,703	160,886

These financial statements were approved by the Board of Directors on 16 May 2017 and signed on its behalf by:


 Harish Aravindakshan Nair
 Director


 Pradeep Kizhakkethil
 Director

Notes 1 to 17 on pages 10 to 21 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of profit or loss and other comprehensive income
for the year ended 31 March 2017

(in Bahraini Dinars)

	Note	2017	2016
Income			
Revenue		409,848	428,357
Direct costs		(335,622)	(350,888)
Gross profit		74,226	77,469
Exchange gain		-	4,932
Other income		8,439	8,109
		82,665	90,510
Expenses			
General and administrative expenses	13	85,327	115,262
Marketing expenses		-	668
		85,327	115,930
		(2,662)	(25,420)
Loss for the year			
Other comprehensive income		-	-
Total comprehensive loss for the year		(2,662)	(25,420)

These financial statements were approved by the Board of Directors on 16 May 2017 and signed on its behalf by:



Harish Aravindakshan Nair
Director



Pradeep Kizhakkethil
Director

Notes 1 to 17 on pages 10 to 21 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of changes in equity for the year ended 31 March 2017

(in Bahraini Dinars)

	<u>Share capital</u>	<u>Statutory reserve</u>	<u>Accumulated losses</u>	<u>Total</u>
As at 31 March 2015	50,000	16,093	(5,542)	60,551
Loss for the year	<u>-</u>	<u>-</u>	<u>(25,420)</u>	<u>(25,420)</u>
As at 31 March 2016	50,000	16,093	(30,962)	35,131
Loss for the year	<u>-</u>	<u>-</u>	<u>(2,662)</u>	<u>(2,662)</u>
As at 31 March 2017	50,000	16,093	(33,624)	32,469

Mindteck Middle East Limited SPC

Statement of cash flows for the year ended 31 March 2017

(in Bahraini Dinars)

	<u>2017</u>	<u>2016</u>
Cash flows from operating activities:		
Loss for the year	(2,662)	(25,420)
Adjustments for:		
Depreciation	84	91
Provision for employee terminal benefits	24,000	24,000
Provision for doubtful receivables	1,392	-
Changes in operating assets and liabilities:		
Trade and other receivables	26,513	(2,284)
Advances, deposits and prepayments	(4,096)	(8,295)
Other payables	(2,528)	3,626
Accrued liabilities	5,007	1,214
Net cash generated from / (used in) operating activities	<u>47,710</u>	<u>(7,068)</u>
Net increase / (decrease) in cash and cash equivalents	<u>47,710</u>	<u>(7,068)</u>
Cash and cash equivalents at the beginning of the year	5,457	12,525
Cash and cash equivalents at the end of year (note: 8)	<u><u>53,167</u></u>	<u><u>5,457</u></u>

1. Legal status and principal activities

Mindteck Middle East Limited SPC, (the "Company"), is a single person company registered with Ministry of Industry and Commerce in the Kingdom of Bahrain under the commercial registration number 49063-01 dated 27 July 2002.

The principle activities of the Company are to provide:

- (i) Consultancy services for computer system use and operation; and
- (ii) Computer Consultancy and computer facilities management activities.

2. Significant accounting policies

2.1 Basis of preparation

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRS), being standards and interpretations issued by the International Accounting Standards Board (IASB), in force at 31 December 2016, and the applicable provisions of the Bahrain Commercial Companies Law Decree No. 21 of 2001, and amendments thereto.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes.

Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the profit or loss, as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The statement of financial position format is based on a current and non-current distinction.

2.2 Measurement bases

These financial statements have been prepared under the historical cost convention, unless mentioned otherwise in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data to the extent possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the management (working closely with external qualified valuers) using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorised into different levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Company at the end of the reporting period during which the change occurred.

The accounting records are maintained in Bahraini Dinars (BD) which is the functional and reporting currency for these financial statements. The financial statements figures are rounded to the nearest dinar.

2.3 Application of new and amended pronouncements

For the preparation of these financial statements, the following amended standards are mandatory for the first time for the financial year beginning 1 April 2016 (the list does not include information about new or amended requirements that are not relevant to the Company):

- | | |
|--|---|
| <ul style="list-style-type: none">▪ Amendments to IAS 1 titled Disclosure Initiative (issued in December 2014) | The amendments clarify guidance on materiality and aggregation, the presentation of subtotals, the structure of financial statements and the disclosure of accounting policies. |
| <ul style="list-style-type: none">▪ Amendments to IAS 16 and IAS 38 titled Clarification of Acceptable Methods of Depreciation and Amortisation (issued in May 2014) | The amendments add guidance and clarify that (i) the use of revenue-based methods to calculate the depreciation of an asset is not appropriate, and (ii) revenue is generally presumed to be an inappropriate basis for measuring the consumption of the economic benefits embodied in an intangible asset. |
| <ul style="list-style-type: none">▪ Amendment to IFRS 5 (Annual Improvements to IFRSs 2012–2014 Cycle, issued in September 2014) | The amendment adds specific guidance when an entity reclassifies an asset (or a disposal group) from held for sale to held for distribution to owners, or vice versa, and for cases where held-for-distribution accounting is discontinued. |
| <ul style="list-style-type: none">▪ Amendment to IFRS 7 (Annual Improvements to IFRSs 2012–2014 Cycle, issued in September 2014) | The amendment adds guidance to clarify whether a servicing contract is continuing involvement in a transferred asset. |

The abovementioned amendments had no impact on the Company's financial statements.

2.4 New and amended pronouncements in issue but not yet effective

The Company has not applied the following new or amended standards that have been issued by the IASB but are not yet effective for the financial year beginning 1 April 2016 (the list does not include information about new or amended requirements that are not relevant to the Company):

The management anticipate that the new standards, amendments and interpretations will be adopted in the Company's financial statements when they become effective, and this may have a significant effect on amounts reported in the Company's financial statements. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

- Amendments to IAS 7 titled Disclosure Initiative (issued in January 2016)

The amendments, applicable to annual periods beginning on or after 1 January 2017, require entities to provide information that enable users of financial statements to evaluate changes in liabilities arising from their financing activities.

- IFRS 9 Financial Instruments (issued in July 2014)

This standard will replace IAS 39 (and all the previous versions of IFRS 9) effective for annual periods beginning on or after 1 January 2018. It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting and derecognition.

- IFRS 9 requires all recognised financial assets to be subsequently measured at amortised cost or fair value (through profit or loss or through other comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.

- For financial liabilities, the most significant effect of IFRS 9 relates to cases where the fair value option is taken: the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.

- For the impairment of financial assets, IFRS 9 introduces an "expected credit loss" model based on the concept of providing for expected losses at inception of a contract; it will no longer be necessary for there to be objective evidence of impairment before a credit loss is recognised. The derecognition provisions are carried over almost unchanged from IAS 39.

- IFRS 15 Revenue from Contracts with Customers (issued in May 2014 and amendment in April 2016)

The new standard, effective for annual periods beginning on or after 1 January 2018, replaces IAS 11, IAS 18 and their interpretations. It establishes a single and comprehensive framework for revenue recognition to apply consistently across transactions, industries and capital markets, with a core principle (based on a five-step model to be applied to all contracts with customers), enhanced disclosures, and new or improved guidance.

- IFRS 16 Leases (issued in January 2016)

The new standard, effective for annual periods beginning on or after 1 January 2019, replaces IAS 17 and its interpretations. The biggest change introduced is that almost all leases will be brought onto lessees' balance sheets under a single model (except leases of less than 12 months and leases of low-value assets), eliminating the distinction between operating and finance leases. Lessor accounting, however, remains largely unchanged and the distinction between operating and finance leases is retained.

3. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

3.1 Plant and equipment

On initial recognition, items of plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

Furniture and equipment	25% straight line
Motor vehicle	15% straight line

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal. Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

An item of plant, and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant, and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

3.2 Leased assets

Leases are classified as finance leases if substantially all the risks and rewards of ownership are transferred to the Company. All other leases are classified as operating leases.

Rentals payable under operating leases are charged to profit or loss on a straight-line basis over the lease term. Incentives to take out operating leases are credited to profit or loss, as a reduction of rental expense, on a straight-line basis over the lease term.

3.3 Trade and other receivables

Trade and other receivables are initially measured at their fair value and subsequently measured at amortised cost, using the effective interest method (except for short-term receivables where interest is immaterial) minus any reduction for impairment or collectability. An estimate for doubtful debts is made when collection of the full amount is no longer probable. Bad debts are written off when there is no possibility of recovery.

3.4 Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at bank.

For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined above.

3.5 Employee benefits and entitlements

3.5.1 Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

3.5.2 Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.6 Trade and other payables

Trade and other payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method (except for short-term payables where interest is immaterial).

3.7 Related party transactions

Related parties comprise the owners, directors and such other entities over which the Company or its owner can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.8 Revenue recognition

Revenue is recognised and measured at the fair value of the consideration received or receivable to the extent it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised:

3.8.1 Rendering of services

Contract revenues earned are recognized under the percentage of completion method, measured by the percentage of cost incurred to the total estimated cost for each contract.

Revenue arising from contract variations/claims is not accounted for unless it is probable that the customer will approve the variations/claims and the amount of revenue arising from the variations/claims can be measured reliably.

Losses on contracts are assessed on an individual contract basis and a provision is made for the full amount of the anticipated losses, including any losses relating to future work on a contract, in the period in which the loss is first foreseen.

Servicing fees are recognised over the term of the servicing contract.

3.8.2 Interest income

Interest income is recognised on a time-proportion basis using the effective interest method.

3.8.3 Rental income

Rental income is recognised on an accrual basis in accordance with the terms of lease agreements.

3.8.4 Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

3.9 Foreign currency

Foreign currency monetary assets and liabilities are translated into the functional currency of the Company using the exchange rates at the reporting date. Gains and losses arising from changes in exchange rates after the date of the transaction are recognised in profit or loss.

Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

3.10 Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and the Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

3.11 Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction. To the extent those proceeds exceed the par value of the shares issued they are credited to a share premium account.

4. Critical accounting judgments and key estimations

In preparing its financial statements, the Company has made significant judgements, estimates and assumptions that impact on the carrying value of certain assets and liabilities, income and expenses as well as other information reported in the notes. The Company periodically monitors such estimates and assumptions and makes sure they incorporate all relevant information available at the date when financial statements are prepared. However, this does not prevent actual figures differing from estimates.

The judgements made in the process of applying the Company's accounting policies that have the most significant effect on the amounts recognised in the financial statements, and the estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

4.1 Economic useful lives of plant and equipment

The Company reviews the useful life and residual value of plant and equipment on regular basis. Any changes in estimates may affect the carrying amounts of the respective items of plant and equipment with a corresponding effect on the depreciation charge.

4.2 Allowance for doubtful receivables

The determination of the recoverability of the amount due from customers involves the identification of whether there is any objective evidence of impairment. Bad debts are written off when identified, to the extent that it is feasible that impairment and collectability are determined individually for each item. In cases where that process is not feasible, a collective evaluation of impairment is performed. As a consequence, the way individual and collective evaluations are carried out and the timing relating to the identification of objective evidence of impairment require significant judgement and may materially affect the carrying amount of receivables at the reporting date.

4.3 Provisions

Provisions are recognised when there is a present, legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amounts can be made. Provision for guarantee claims and other off balance sheet obligations is recognised when intimated and reasonable certainty exists to settle the obligations.

4.4 Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

4.5 Impairments**4.5.1 Impairment of financial assets**

The Company assesses at each statement of financial position date whether there is objective evidence that a financial asset or a group of financial assets is impaired.

4.5.2 Impairment of non-financial assets

Non-financial assets are reviewed for impairment at each statement of financial position date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss or reversal of impairment loss is recognised in the statement of profit or loss and other comprehensive income. The recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. A reversal of the impairment loss is restricted to the original cost of the asset.

5. Plant and equipment

	Furniture and equipment	Motor vehicles	Total
Cost :			
At 31 March 2016	3,477	6,000	9,477
At 31 March 2017	3,477	6,000	9,477
Accumulated depreciation:			
At 31 March 2016	3,122	6,000	9,122
Depreciation for the year	84	-	84
At 31 March 2017	3,206	6,000	9,206
Carrying amount :			
At 31 March 2016	355	-	355
At 31 March 2017	271	-	271

6. Trade and other receivables

	2017	2016
Trade receivables	119,324	139,609
Provision for doubtful receivables (note 6.1)	(27,378)	(25,986)
	91,946	113,623
Unbilled revenue	17,149	23,377
	109,095	137,000

There is no material difference between the fair value of receivables and their carrying amount.

6.1 Provision for doubtful receivables

	2017	2016
Opening balance	25,986	26,050
Provision for the year	1,392	-
Provision reversed in the year	-	(64)
	27,378	25,986

Net trade receivables are expected to be fully recoverable and are unsecured. It is not the practice of the Company to obtain collateral over these trades receivables and these are, therefore, unsecured.

7. Advances, deposits and prepayments

	2017	2016
Advances to employees	3,321	2,915
Tender deposits	14,000	8,550
Prepayments	4,849	6,609
	22,170	18,074

8. Bank balance

	<u>2017</u>	<u>2016</u>
HSBC Middle East Limited	–	5,457
Citi Bank	53,167	–
Cash and cash equivalents	<u>53,167</u>	<u>5,457</u>

The bank balances do not carry any interest rate.

9. Share capital

The share capital of the Company is BD 50,000 (2016: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

10. Statutory reserve

Under the provisions of the Bahrain Commercial Companies Law, an amount equivalent to 10% of the Company's net profit before appropriations is required to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year, no transfer is made to such reserve, as the Company has incurred a loss (2016: Nil).

11. Other payables

	<u>2017</u>	<u>2016</u>
Other payables	3,342	2,033
Payable to related parties – (note 11.1)	74,326	78,163
	<u>77,668</u>	<u>80,196</u>

11.1 Payable to related parties

	<u>2017</u>	<u>2016</u>
Mindteck India Limited	3,884	7,721
Mindteck Inc, USA	70,442	70,442
	<u>74,326</u>	<u>78,163</u>

12. Accrued liabilities

	<u>2017</u>	<u>2016</u>
Leave salary	25,811	19,606
Provision for expenses	755	1,953
	<u>26,566</u>	<u>21,559</u>

13. General and administrative expenses

	2017	2016
Employee costs (note 13.1)	69,454	87,165
Travelling and conveyance	2,539	8,142
Office rent	6,017	6,017
Utilities	742	480
Legal and professional	1,070	4,220
Communication	1,783	2,652
Repair and maintenance	161	495
Provision for doubtful receivables	1,392	-
Depreciation (note 5)	84	91
Bank charges	417	2,941
Other expenses	1,668	3,059
	85,327	115,262

13.1 Employee costs

	2017	2016
Salary and allowances	28,439	46,993
Employee benefits	24,000	24,579
Insurance	9,936	7,462
Visa and immigration fee	954	2,375
Employee welfare	279	561
Others	5,846	5,195
	69,454	87,165

14. Related party transactions**14.1 Parent and ultimate controlling party**

The Company is fully owned and controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

14.2 Transactions with Parent company

	2017	2016
Expenses incurred by parent company	(12,215)	(16,330)
Expenses incurred on behalf of the parent company	16,052	9,406

15. Contingencies and commitments

There were no material contingencies known as at the date of the statement of financial position.

The Company leases an office building under a short-term operating lease of two years. The future minimum lease payments payable under non-cancellable operating leases are as follows:

	2017	2016
No later than 1 year	6,017	3,008
Later than 1 year and no later than 5 years	3,008	-
	9,025	3,008

The Company has Bank guarantees as at 31 March:

	2017	2016
Bank Guarantees – HSBCMiddle East Ltd	7,284	8,784
Bank Guarantees – Citi Bank	7,000	–
	14,284	8,784

16. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balance, deposits and trade and other receivables. Financial liabilities include other payables. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

16.1 Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk.

Maximum exposure to credit risk before collateral held or other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2017	2016
Bank balance	53,167	5,457
Tender deposits	14,000	8,550
Trade and other receivables	109,095	137,000
	176,262	151,007

16.2 Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company's transactions are either in Bahraini Dinars, United States Dollars or other GCC currencies. Currencies that are pegged to US Dollars are not considered to represent significant currency risk since Bahraini Dinar is also pegged to the US Dollar.

16.3 Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 March is as follows:

2017

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balance	53,167	53,167	-	-
Tender deposits	14,000	-	14,000	-
Trade and other receivables	109,095	109,095	-	-
	176,262	162,262	14,000	-
Liabilities				
Employee terminal benefits	48,000	-	-	48,000
Other payables	77,668	77,668	-	-
Accrued liabilities	26,566	26,566	-	-
	152,234	104,234	-	48,000

2016

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balance	5,457	5,457	-	-
Tender deposits	8,550	-	8,550	-
Trade and other receivables	137,000	137,000	-	-
	151,007	142,457	8,550	-
Liabilities				
Employee terminal benefits	24,000	-	-	24,000
Other payables	80,196	80,196	-	-
Accrued liabilities	21,559	21,559	-	-
	125,755	101,755	-	24,000

16.4 Fair value of financial assets and liabilities

The carrying value of all financial assets and liabilities reflected in the financial statements approximate their fair values at the statement of financial position date.

16.5 Capital risk management

The Company manages the capital structure in the context of economic conditions and the risk characteristics of the underlying assets. The Company's objective when managing capital is to safeguard the Company's ability to continue as a going concern and to maintain a capital base to support the sustained development of its businesses and maximise the owner's wealth.

17. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison.